

Fintech Gender Diversity & Q2 2022 Trends

In the third edition of our quarterly analysis with Deloitte, we explore gender diversity and current market trends in the UK fintech sector.

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investment volumes into female-founded fintechs if current trends continue.

Looking at broader fintech investment trends in the wider ecosystem, we explore equity deals in a monthly breakdown. Download the free report for our key findings on these trends.

Here's a sneak peek inside

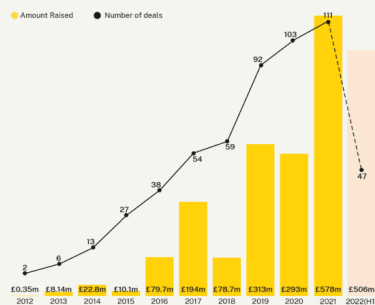
Gender diversity

Equity investment into fintech companies with one or more female founders has continued to grow exponentially over the past decade rising from just two deals worth £350k in 2012 to 111 deals worth £578m in 2021. Despite the increase in funding secured by female-founded fintech companies, these figures

are still disproportionately low given the investment in male counterparts. For example, in 2021, just 1.9% of fintech equity investment went to companies with at least one female founder. Of the £578m of equity invested into fintech companies with a female founder in 2021, 61.1% (£352m) of the investment was

secured by all female founding teams. This high proportion is largely due to investment raised by Starling Bank, a challenger bank founded by Anne Boden, which amounted to £322m in 2021.

Equity investment into fintechs with one or more female founders (2012-H1/2022)



"There is long way to go to level the playing field for female founders looking to raise capital. Only 1.9% of fintech equity investment went to startups with at least one female co-founder in 2021. This is antithetical to what we know about female founders who perform better than all male founding teams 63% of the time as per the commonly cited First Round Capital report. This is a representation problem, as opposed to a frequently stated pipeline problem. We should continue to increase our focus on investment to underrepresented female founders. Cultivating entrepreneurial talent in women across the financial services ecosystem could not be more important."

Louise Brett
Head of FinTech and Financial Services
Innovation, Deloitte Europe

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Market trends

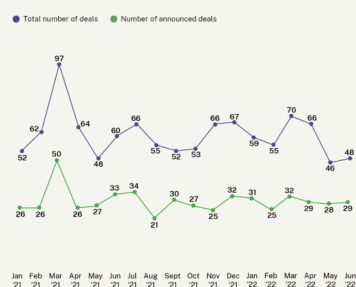
Turning to the ecosystem in full, although broader socio-economic conditions had a slightly delayed impact on the private markets for the first few months of the year there has been a notable downturn in the number of deals secured by fintech companies since March 2022. In June 2022,

investors participated in just 48 equity fundraising rounds – one of the lowest months for deals since January 2021.

Whilst the number of deals taking place has reached a lull, it should be noted that the combined value of equity investment secured

by fintech companies remains comparable with previous time periods. However, this may be due to several large deals taking place in recent months. In April, Padlock received £163m of equity, for example, and in June SunIP secured £506m of investment in a single deal.

Number of equity investment deals into fintechs (2021-H1/2022)



"March is usually the busiest month of the year for investments into startups and scaleups in any sector because of SEDs and EIS. The difference between March last year and March this year is marked – 28% fewer deals. But every other month has seen a number of deals within the normal range. Although the figure for May this year is a low point, it is only two deals fewer than the same month last year. The paperwork for a handle of deals may yet trickle through. The boom times may be over, but a proper downturn is not yet in evidence."

Henry Wharwood
Head of Research and Consultancy,
Beauhurst

Beauhurst

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DANIEL ROBINSON

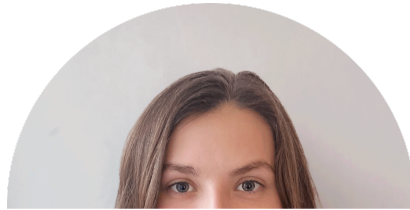
Daniel conducts data manipulation, visualisation and analysis as part of the Research & Consultancy team. He has a background in business analysis and commercial copywriting in Australia and the



FREYA HYDE

Freya performs data analysis and visualisation in the Research & Consultancy team, with a focus on design, and has worked on projects for Barclays, EY and JP Morgan. She holds a BA in History (International) from the University of Leeds, which included a year at Fudan University in Shanghai.

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